

Alternative Investments: HF/VC/PE

ALTERNATIVE INVESTMENTS, OR ALTS as they are called, have long been among the sexiest asset classes available. These private partnerships promise better-than-market performance and have the aura of a secret approach known only to a privileged few. Available exclusively to accredited investors and restricted to just 99 limited partners (LPs), with the general partner (GP) as the 100th, these funds create a rarified mystique.

A small handful of fund managers deserve this reputation. Those who consistently beat their benchmarks in excess of the high fees they charge are rewarded with huge capital inflows and massive paydays. For the rest of the alternative investment universe, the hedge funds, venture capital funds, private equity, and private debt, “alpha” has proven to be more elusive.⁴²⁷

Over my career, I have been fascinated by and skeptical of most alternatives. My views have evolved, and I have reached this conclusion: *If you are fortunate enough to have entrée to alternative funds in the top 10% (or so) of each category, you should take advantage of it.* For all the rest, you should be highly skeptical about their claims of outperformance, especially relative to their high costs.

Let’s look at the biggest flavors of alts, and their strengths and weaknesses.

Hedge funds

Thanks to rockstar managers who occasionally produce eye-popping returns, hedge funds are probably the best-known of the alt investments. Their biggest challenge, however, is market efficiency—it’s incredibly difficult to identify and execute strategies that consistently beat broad indices. That hasn’t stopped the global hedge fund industry from scaling up to \$5 trillion in assets, with forecasts topping \$13 trillion globally by 2032.⁴²⁸